Chapter 2 INTERNAL CONTROL

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Learning Objectives

- To understand the meaning, definition and objectives of internal control.
- To understand the advantages and disadvantages of internal control.
- To understand the principles of good internal control system.
- To evaluate the auditor's duty of internal control.
- To analyse the methods of evaluating internal control system.
- To identify the differences between internal check and internal control.

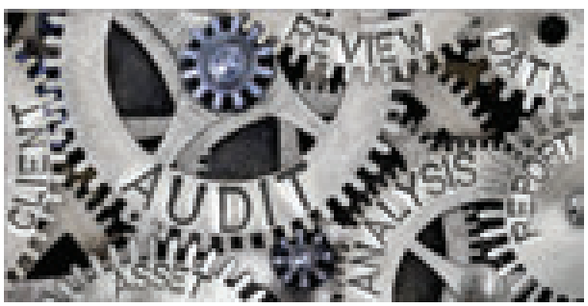
POINTS TO RECALL

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In the previous chapter, we have studied meaning and importance of internal check system and application of internal check system with respect to cash and trading transactions.

2.1 Introduction

Internal control is the overall control environment established by management of an enterprise for effective and efficient monitoring and control of its operations. It aims at adherence to management policies, safeguarding of assets of the enterprise, proper accounting and record of the business transactions. Internal check and internal control are vital components of the control system.



The auditor should properly understand and assess the internal control system to determine the degree of reliance to be placed on it and accordingly to plan the nature, timing and extent of audit procedures to be performed by him. If the internal control is found to be effective, the auditor may resort to selective verification. However, when internal control system is weak auditor has to verify the transactions in detail.

2.2 Meaning

Internal Control refers to the process of control exercised by the management either financial or non-financial to ensure proper accounting of business transaction and reliability of records. Internal control

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